# Chapter Thirty-Eight

## State of Public Finance

### *Raising Taxes to Finance Public Expenditures is the Core of Public Finances*

The institution of government has been created by society to produce public goods and services such as law and order, defence, currency, maintaining relations with foreign countries, administration of justice and the like. The institution of government, in times of social welfare, has also expanded to deliver merit goods like education, health and nutrition and also to redistribute wealth and income from the haves to the have-nots.

Discharging all these functions adequately and satisfactorily requires finance. Tax revenues, borrowings and printing money are the three sources for governments to raise the necessary fiscal resources to fund requisite public expenditures.

Printing money to fund government expenditure led to prolonged episodes of high inflation. India also used this to its utter dismay from the 1950s to 1990s. The government has been cautious in resorting to this temptation even in the pandemic year. Though advanced economies resorted to this device very heavily in 2020–21, most developing countries stayed away from monetizing deficits by creating money.

Borrowing funds is the third source of financing expenditure.

Governments make revenue and capital expenditures on public goods and services. Governments also make revenue and capital expenditures on merit goods and services. They spend on redistribution by giving subsidies, grants, scholarships and support to the poor and other deserving sections of society. Governments pay interest on debt raised earlier. They also incur